

Alka Jain vs Navank Arora on 30 April, 2026

IN THE COURT OF JUDICIAL MAGISTRATE FIRST CLASS
(CENTRAL)
NI ACT- 05, CENTRAL DISTRICT, TIS HAZARI COURT, DELHI

Presided over by- Sh. Arjun Kirar

CC No.3054/2018
UNIQUE CASE ID: DLCT02-003636-2018

In the matter of:-

ALKA JAIN
Proprietor of M/s Mayank Trading Company
2234, Dharampura, Chawri Bazaar
Delhi- 110006

.....Complainant

VERSUS

NAVANK ARORA
S/o Sh. Manoj Arora
Proprietor of M/s Samsara Enterprises
B- 95/1, Naraina Industrial Area
Phase- I, New Delhi- 110028

.....Accused

Date of institution	:	05.02.2018
Offence complained of or proved	:	Section 138 NI Act, 1881
Plea of accused	:	Not guilty
Date of filing	:	25.01.2018
Date of decision	:	30.04.2026
Final Order	:	Convicted

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CC No.3054/2018
Argued by:

Alka Jain Vs. Navank Arora

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Sh. Satish, Ld. Counsel
for complainant.

Sh. Anjum Kumar, Ld. Counsel for

accused .

JUDGEMENT

BRIEF STATEMENT OF REASONS FOR THE DECISION:-

FACTUAL MATRIX-

1. Complainant is the proprietor of M/s Mayank Trading Co and is in the business of paper and board. The accused approached the complainant for the purchase of paper and board and after settlement of terms and conditions, the accused started placing orders with the complainant. Over a period of time a sum of Rs. 16,00,147/- became unpaid by the accused to the complainant. In discharge of his liability the accused issued the following cheque:-

CHEQUE NO.	DATED	AMOUNT
102393	25.08.2017	3,00,000/-

On presentation, the above said cheque was dishonoured. Thereafter, complainant issued legal notice to the accused. But to no avail. Hence, the instant complaint has been instituted.

2. On 22.09.2021, substance of accusation was explained to the accused. He pleaded not guilty and claimed trial. His plea of defence was separately recorded. He stated that the cheque in question bears his CC No.3054/2018 Alka Jain Vs. Navank Arora Page no.2 of 12 Digitally signed by ARJUN ARJUN Date:

KIRAR KIRAR 2026.04.30 15:37:24 +0530 signatures; however, the other particulars on the same are not filled by him. He further stated that he had business with the complainant and he used to purchase goods from the complainant. The cheque in question was given as security. The goods were defective and the complainant had issued duplicate bill because of which the amount of duplicate bill was not paid to the complainant. He further stated that he does not have the liability to the extent of the cheque amount. However, he has to check the account book to ascertain the exact amount payable to the complainant. He denied the receiving of the legal demand notice.

3. CW-1 Sh. Arun Kumar Jain, Attorney holder of the complainant tendered his evidence by way of affidavit Ex.CW1/A and relied upon the following documents :-

Ex.CW1/1 (OSR) and Ex CW1/2 (OSR) are copy of general power of attorneys.

Ex.CW1/3 is copy of Statement of account of accused. Ex.CW1/4 is Original cheque.

Ex.CW1/5 is Return memo.

Ex.CW1/6 is Legal Demand Notice.

Ex.CW1/7 is Postal Receipt.

Ex.CW1/8 is Tracking report.

Ex.CW1/9 is Legal notice.

Ex.CW1/10 is Postal receipt.

Ex.CW1/11 is Tracking report.

Ex.CW1/12 is complaint.

CW-1 was cross-examined at length by Ld. Counsel for the accused.

No other witness was examined on behalf of the complainant.

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4. Statement of accused u/s 313 CrPC was recorded. He stated that the cheque in question bears his signatures; however, he has not filled any other particulars on the same. He further stated that an amount of Rs.16,00,147/- was not due against him as on 09.10.2017. Previously, complainant was having dealings with his father. Thereafter, complainant started dealing with him also. The complainant used to raise multiple bills for the same transactions and when his father discovered the same, he stopped dealing with the complainant. Thereafter, after a period of 4-5 years the complainant approached him (accused) for dealing. He transacted with the complainant for goods amounting to Rs. 8.5 lakhs approx. Out of the said amount, an amount of Rs. 2.5 lakhs was paid via online modes and request was made to return one cheque amounting to Rs. 2.5 lakhs. The goods supplied were also damaged and were not of use. He (accused) requested for return of one cheque. He further stated that he had already paid the entire amount which was due as per the present cheque. He had asked the complainant to take back the goods and return the cheque. He further stated that he has no liability towards the complainant. Further, he expressed his willingness to lead defence evidence.

5. Even after giving several opportunities to the accused for leading defence evidence, the accused did not lead defence evidence.

Subsequently, on 11.08.2025, accused stated that he did not wish to lead D.E. Accordingly, D.E was closed and matter was listed for final arguments.

6. Arguments heard at length from both sides. Record perused.

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7. At the outset, it worths a mention that to bring home the guilt of the accused, the complainant has to prove beyond reasonable doubt elements of Section 138 Negotiable Instrument Act by crossing the following legal benchmarks :-

- a) The cheque was drawn by accused /drawer on account maintained by him with the banker for payment of any amount of money out of that account to the complainant.
- b) The said payment was made for discharge of his legally and enforceable debt or other liability, in whole or in part.
- c) The said cheque was returned unpaid by the bank.
- d) The cheque was presented before the bank within a period of three months from the date on which it was drawn or within a period of its validity, whenever is earlier.
- e) The payee or the holder in due course of the cheque, as the case may be, made a demand for the payment of the said amount of money by giving the notice in writing to the drawer of the cheque within 30 days of receipt of information by him from the bank regarding the return of the cheque as unpaid.
- f) The drawer of the cheque fails to make the payment of the said amount of money to the payee, or, as the case may be, to Digitally signed by ARJUN ARJUN Date:

KIRAR KIRAR 2026.04.30 15:37:37 +0530 CC No.3054/2018 Alka Jain Vs. Navank Arora Page no.5 of 12 the holder, in due course of cheque within 15 days of the receipt of the said notice.

Further, a combined reading of section 118, 139 and 146 of NI Act provide a bunch of presumption in favour of complainant, which are as follows :-

- i) The cheque was drawn/transferred/accepted for consideration.
- ii) Holder of the cheque has lawfully received the cheque, meaning thereby that the holder was in lawful possession of the cheque.

- iii) The cheque was given in the discharge of any debt or liability.
- iv) Legally enforceable debt or liability was in existence at the time of issuance of the cheque; (contrary view has been overruled by the three judges bench of Hon'ble Supreme Court in Rangappa V. S. Mohan decided on 07.05.2010)
- v) The cheque was of the nature as described in Section 138;
- vi) The cheque was drawn by the person who was maintaining the account pertaining to the cheque.
- vii) Amount of money mentioned in the cheque was intended to be given;
- viii) The cheque has been dishonoured for the reason mentioned in the memo.

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8. After analysis of the material on record it is undisputed position that the cheque in question was issued by the accused to the complainant and it bears the signatures of the accused. Further from the unrebutted testimony of CW1 qua presentation and dishonour of the cheque in question and unimpeached dishonour memos, the factum of presentment of the cheque within its period of validity and the factum of its dishonour stand established. Further perusal of record reveals that accused in his plea of defence u/s 251 CrPC stated that he had not received the legal demand notice from the complainant. In view of the judgement of Hon'ble Supreme court in the case titled as C.C. Alavi Haji Vs. Palapetty Mohd. and another (2007) 6 SCC 555 the version of the accused that he did not receive the impugned legal notice is not sustainable. Accused did not make the payment of the cheque amount within 15 days of receipt of legal demand notice, therefore cause of action against the accused arose and instant complaint was filed. Thus, it is manifest that the complainant has complied all the mandatory requirements of section 138 and Section 142 of NI Act. Since in the present case accused has unequivocally admitted his signatures on the cheque in question, a presumption under section 139 NI Act is drawn in favour of complainant to the effect that the cheque in dispute was issued by the accused for a legally enforceable debt.

9. At this stage, it is important to highlight the ratio of the decision by the Hon'ble Apex Court in the case titled as Rangappa vs. Sri Mohan, AIR 2010 SC 1898. In para 14 of the judgement, the Hon'ble Supreme Court has observed as herein below:-

"In light of these extracts, we are in agreement with the respondent claimant that the presumption Digitally signed by ARJUN mandated by section 139 of the Act does indeed ARJUN KIRAR KIRAR Date:

2026.04.30 15:37:46 +0530 include the existence of a legally enforceable debt CC No.3054/2018 Alka Jain Vs. Navank Arora Page no.7 of 12 or liability. To that extent, the impugned observations in Krishna Janardhan Bhat (supra) may not be correct. However, this does not, in any way, cast doubt on the correctness of the decision in that case since it was based on specific facts and circumstances therein. As noted in the citations, this is of course in the nature of rebuttable presumption and it is open to the accused to raise a defence wherein the existence of a legally enforceable debt or liability can be contested. However, there can be no doubt that there is an initial presumption which favours the complainant. Section 139 of the Act is an example of a reverse onus clause that has been included in furtherance of legislative objective of improving the credibility of negotiable instruments. While section 138 of the Act specifies a strong criminal remedy in relation to the dishonour of cheque, the rebuttable presumption under section 139 is a device to prevent undue delay in the course of litigation. However, it must be remembered that the offence made punishable by section 138 can be better described as a regulatory offence since the bouncing of cheque is largely in the nature of a civil wrong whose impact is usually confined to the private parties involved in a commercial transaction. In such a scenario, the test of proportionality should guide the construction and Digitally signed by ARJUN ARJUN KIRAR interpretation of reverse onus clauses and the KIRAR Date:

2026.04.30 15:37:52 +0530 CC No.3054/2018 Alka Jain Vs. Navank Arora Page no.8 of 12 accused/defendant cannot be expected to discharge an unduly high standard of proof. In the absence of compelling justifications, reverse onus clauses usually impose an evidentiary burden and not a persuasive burden. Keeping this in view, it is settled position that when an accused has to rebut the presumption under section 139, the standard of proof for doing so is that of "preponderance of probabilities". Therefore, if the accused is able to raise a probable defence which create doubt about the existence of a legally enforceable debt or liability, the prosecution can fail. As clarified in the citations, the accused can rely on the materials submitted by the complainant and it is conceivable that in some cases the accused may not adduce evidence of his/her own".

10. Keeping in view the above legal discussion, now the moot question before the court is whether the accused has been able to successfully rebut the mandatory presumption of law either by bringing on record any positive evidence or by creating doubt in the veracity of the material brought forth by the complainant. This court has meticulously perused the matter on record in the light of the legal bench marks as discussed. In the instant case this court is of the opinion that accused has failed to rebut the mandatory presumption of law by probabilising his defence and has also failed to controvert the story of the complainant or to establish his own story. This opinion of the court is based upon the following observations :- Digitally signed by ARJUN ARJUN KIRAR KIRAR Date:

2026.04.30 15:37:57 +0530 CC No.3054/2018 Alka Jain Vs. Navank Arora Page no.9 of 12 • The whole case of the complainant is based on the premise that the accused

approached the complainant for purchase of paper and board. Over a period of time a sum of Rs 16,00,147/- became unpaid by the accused to the complainant. In discharge of his liability the accused issued the cheque in question, which on presentation got dishonoured. The accused in his plea of defence u/s 251 CrPC stated that he used to purchase goods from the complainant and the cheque in question was given as a security. He further stated that he does not have liability to the extent of the cheque amount. However, he will check the account book to ascertain the exact amount payable to the complainant. However, in his statement u/s 313 CrPC he stated that he has already paid the entire amount which is due as per the present cheque. He further stated that he has no liability towards the complainant. Thus, both the statements of the accused are contradictory to each other and cannot be relied upon to rebut the case of the complainant. Moreover, the accused has not brought anything on record to prove his plea. It is settled law that mere taking a plea is no proof of it.

- Accused has stated in his plea of defence that the cheque in question was given as security. It is settled proposition of law that if a cheque is issued to secure a payment and the payment is not done as promised and there is no understanding or agreement between the parties to defer the payment of the amount, the cheque would mature for presentation and the payee of the cheque would be entitled to present the same. Thus, bare defence that the cheque was issued as security bereft of proof of other facts as discussed is not a get-out-of-jail-free-card.

- Accused raised the plea that the complainant used to issue duplicate bills i.e., issuance of multiple bills for the same transactions. However, the Digitally signed by ARJUN ARJUN KIRAR KIRAR Date:

2026.04.30 15:38:01 +0530 CC No.3054/2018 Alka Jain Vs. Navank Arora Page no.10 of 12 accused did not lead any evidence in support of his plea. The accused could have produced the duplicate bills on record, but he failed to do so.

- Another defence raised by the accused is that earlier the complainant was having dealing with his father. The complainant used to raise multiple bills for the same transactions and since the same was discovered by his father, his father stopped dealing with the complainant. It is significant to note that had the complainant been issuing multiple bills for the same transactions and the same was discovered by the father of accused, then why did accused enter into transactions with the complainant. This fact creates doubt on the version of the accused.

- Further, despite giving opportunities to the accused to lead defence evidence, the accused did not lead defence evidence. This gives inference to the fact that accused has no evidence to support the pleas raised by the accused during trial. Moreover, even after cross examining CW-1 at length, the accused could not extract anything to rebut the case of the complainant.

- A meticulous perusal of record reveals that the accused has not replied to the statutory notice under 138 of the act rebutting the allegations made by the complainant. The very fact that the accused has failed to reply to the legal demand notice lead to the inference that there was merit in the complainant's version. (Ref: Rangappa vs. Sri Mohan AIR 2010 SC 1898).

- Evidence adduced on behalf of the complainant remained unrebutted. On the other hand, apart from the mere ipse dixit version of the accused, no convincing and weighty evidence has been brought forth. Also, nothing persuasive has been adduced which can create doubt on the CC No.3054/2018 Alka Jain Vs. Navank Arora Page no.11 of 12 Digitally signed by ARJUN ARJUN Date:

KIRAR KIRAR 2026.04.30 15:38:06 +0530 truthfulness and verity of material brought on record by the complainant. Thus, bare statement of accused without any proof has no probative value.

11. To recapitulate the above discussion, it is undeniably evident that the evidence led by the complainant remained uncontroverted. On the other hand, the accused has miserably failed to disprove the presumption either by bringing on record such facts and circumstances upon the consideration of which, the court may, either believe that the consideration did not exist or its non-existence was so probable that a prudent man would, under the circumstances of the case, act upon the plea that it did not exist or by punching the holes in the case of the complainant on the basis of the materials already brought on record by the complainant. Consequently, the accused has failed to probabilise his defence which creates doubt about the existence of a legally enforceable debt or liability as nothing probable has been brought on record to negate the factual basis established by the complainant by bringing on record unrebutted and unimpeached evidence.

Resultantly, the accused namely Navank Arora is hereby convicted of the offence under section 138 of the NI Act. Announced in the open court.

Copy of judgment be given free of cost to the convict. On 30.04.2026.

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2026.04.30 15:38:11 +0530 (ARJUN KIRAR) JMFC (NI Act)- 05/ Central District THC/Delhi/30.04.2026 Note- This judgment contains 12 pages and each page has been signed by me.

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